

Geopolitics and Export Miracles: Firm-Level Evidence from US War Procurement in Korea

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The East Asian Miracle was forged in the Cold War



Lyndon B. Johnson and Park Chung-hee, 1965, Washington, DC.

The East Asian miracle was forged in the Cold War

- ▶ Literature emphasizes *domestic* policy:
 - ▶ e.g., *supply-side* industrial policies
- ▶ Cold War geopolitics played important—overlooked—economic role
 - ▶ 1950s: US Korean War procurement—Japan’s “Marshall Plan” (Johnson, 1972)
 - ▶ 1960s: US Vietnam War procurement boosted Asian allies—South Korea

Large, overlooked shock

- ▶ **Large shock:** 2.9% of GDP in 1968 alone for South Korea
- ▶ **Question:** How did demand-side contribute to Korea's export miracle?
- ▶ **This paper:** Impact of Cold War demand on Korea's export development

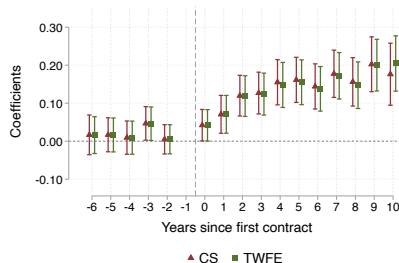
What we do

1965–1974: \$772.5 million in military contracts

- ▶ **Digitize** - firm $\times$ destination $\times$ product data for Korean exporters
- ▶ **Match** - to historic DoD procurement contracts
- ▶ **Event study** - use to trace impact of contracts on evolution of exports
- ▶ **Export targets** - to support identifying assumptions

Preview: War Procurement Supported the Export Miracle

- First contract raises probability of exporting by 14.7 pp:



- Export value rises $\sim 40\%$

Expanded product scope and destination expansion, beyond mechanical effects.

Literature

- ▶ Cold War procurement shaped the East Asian miracle
 - ▶ Geoeconomics: Clayton et al. (2023), Kleinman et al. (2024), Mohr and Trebesch (2025)
- ▶ The role of export policy in East Asian miracle
 - ▶ Lane (2025), Barteska and Lee (2026)
- ▶ Renewed interest procurement and demand-side IP
 - ▶ Parallel work: firm upgrading, exports: Atkin et al. (2017), Alfaro-Urena et al. (2022)
- ▶ Military procurement shocks to study external economic development
 - ▶ Ramey (2011), Nakamura and Steinsson (2014), Brunet (2024), Mitrinen (2025)
- ▶ Channel of aid: through market access, guaranteed demand
 - ▶ Easterly (2003), Casey et al. (2012), Qian (2015)

Historical Context

Data

Empirical Strategy and Export Targets

Main Results

Mechanisms

Conclusion

1965: US' Vietnam War Bind



US needed massive troops, constrained at home.

Context: Troops for Trade

- ▶ **Korean opportunity:** Korea saw opening for market
- ▶ **Sends 350,000 troops:** next-largest force on SVN side after US
- ▶ **Aid-as-procurement:** Korean firms supplied goods and services
 - ▶ Uniforms, boots, materials, construction, logistics
- ▶ **Temporary:** Nobody anticipated prolonged war. SVN will soon fall

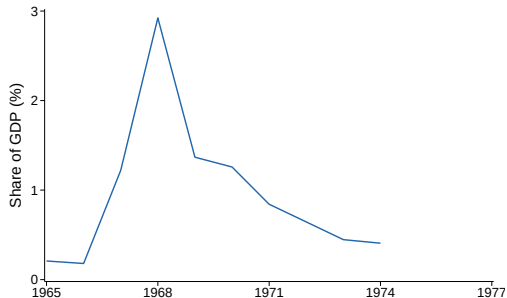
▶▶ US Aid

Procurement Process

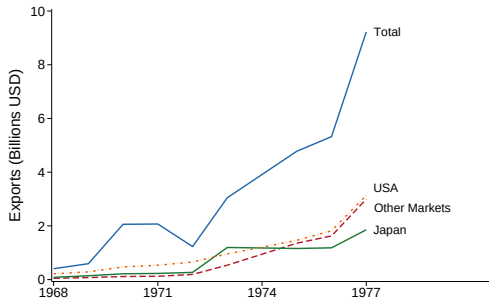
- ▶ **Procurement $\neq$ Competitive process**
- ▶ **Steered:** Park regime picked winners via coordinated bids
 - ▶ Korean nationals in U.S. offices (KPA, 8th Army) leaked information
 - ▶ Industry associations and government coordinated on winner

Two Booms: Procurement and Exports

(a) Procurement contracts peak in 1968



(b) Exports grow 17-fold, 1964–1974



Historical Context

Data

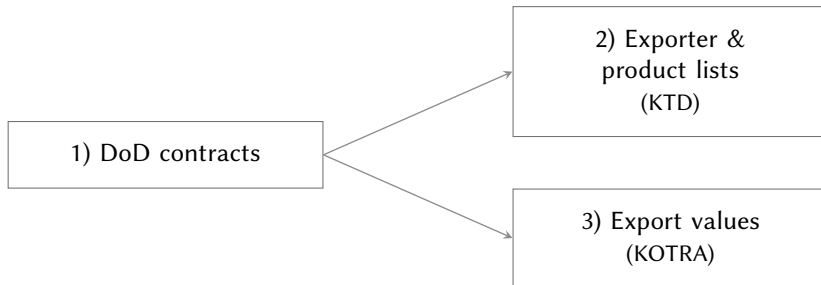
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Three micro-level datasets



1) U.S. DoD DD-350 Procurement

- ▶ **All purchases:** Korean contractors, 1965–1974 (> USD 10,000 from FY1968)
- ▶ **9,248 contract actions:** \$772.5M
 - ▶ \$440.8M (57%) linked to panel firms via English firm names
 - ▶ 289 treated firms; 3,514 never treated
- ▶ Includes goods and services

2) Exporter & Product Lists, 1959-1976

KOREAN TRADE DIRECTORY 1960

Second Edition

FAR EAST ENTERPRISE CO., LTD.

21, Sokongdong, Chung-ku, Seoul. Rep:
Chang Ki Sup. Tel: 2-5381

FAR EASTERN MINING CO., LTD.

15, 2-ka, Myungdong, Chung-ku, Seoul.
Rep: Jihn Dan Bong. Tel: 2-8316, 1121.
P.O.Box: 106 Central. Cable: ANSHIM.
Exp: Soya beans, Red beans, Iron
ores, Manganese ores, Fluorite, Tale,
Lead ores, Zinc ores. **Imp:** Synthetic
yarn, Dyestuffs, Communication equip-
ments, Paper making machines & parts

FAR EAST TRADING CO., LTD.

26, 1-ka, Chungmuro, Chung-ku Seoul.
Rep: Park Bong Joo. Tel: 3-9077

FOREIGN PUBLICATIONS SUPPLY CO., LTD.

46, Bukchangdong, Chung-ku, Seoul.
Rep: Park Suk Ho. Tel: 2-2698

GOLDEN ENTERPRISE CO., LTD.

52, 5-ka, Chungmuro, Chung-ku, Seoul.
Rep: Jung In Suk. Tel: 5-6158. P. O.
Box: 287 Central. Cable: ENTERPGO-
LD. **Exp:** Dried cuttlefish, Agar-agar,
Anthracite coal. **Imp:** Building materials,
Synthetic resin, Pigments, Electric ma-
chinery, Machine tools, Vehicles & parts,
Office equipment & parts

GOLD STAR CO., LTD.

341, Yonjidong, Pusanjin-ku,
Pusan. Rep: I. H. Koo. Tel:
 2-3007. P.O.Box: 314 Kwang-
hwamoon. Cable: GOLDRA-
DIO. **Imp:** Processed paper, Organic che-
micals, Electric machinery, Machine tools,
Physio-chemical apparatus & parts

GOLDSTAR TRADING & INDUSTRIAL CO., LTD.

63, 2-ka, Jeodong, Chung-ku, Seoul. Rep:
Tae Kyun Shin. Tel: 2-7321, 7322, 7323,
3-3420. Cable: GOSTRIC. **Exp:** Cotton
yarn, Cotton sheeting. **Imp:** Raw cotton,
Synthetic fibers, Iron & steel, Dyestuffs,
Textile machinery

For Article handled by these firms, see Section 2.

3) Export Values, 1968–1977

- Comprehensive Export Directory (KOTRA):

- Goods exports
- Firm-destination-product level
- 1968-1977

SAM SUNG MOOLSAN CO., LTD. (E & M) (B)			
50, 1-Il, Ilchi-ro, Chooong-ku, Seoul		24-2651, 2661	
1968 Exports: 10,870,152		I.P.O. Box : 0075	
1. Ships and boats		2. Tricot fabrics	
1,228,000	Taiwan	42,606	Singapore
3. Embroidery		4. Portland cement	
22,022	Japan	345,770	Vietnam
5. Photographic, paper		6. Tetron crepon	
2,419	Japan	4,875	Iran
7. Carton paper		8. Hosiery yarn	
51,438	Japan	138,136	Iran
		840	H.K.
9. Acrylic yarn		10. Silk fabrics	
900	W. Germany	134,989	Japan
25,000	Canada		
11. Woollen goods		12. Urea	
5,074	Australia	2,637	Pakistan
154,542	Holland		
2,348,718	U.S.A		
139,161	Iran		
1,577	Italy		
35,177	W. Germany		
239,641	H.K.		
29,282	Canada		
4,869	Lebanon		
39,248	Singapore		
174	Japan		
1,526	Thailand		
3,652	Panama		
1,341	S. Africa		

3) Export Values, 1968–1977

- **Export targets:** firm-level targets for 1970-72
 - Put a pin in this

CHUNIL MOOLSAN CO., LTD.		(414, W)	
82, 1-ka Ulchi-ro Chung-ku, Seoul		(22-4940)	
C.P.O. Box: 908, Seoul	EXPORTS IN 1969:		322,466
CABLE ADD.: CMCOMPANY	TARGET IN 1970 :		1,135,000

1. <u>Knitted Shirts</u>			
U.S.A.	138,134 (N.A.)	Canada	3,350 (N.A.)
Total			141,484 (N.A.)

2. <u>Shirts N.E.S.</u>			
U.S.A.	78,876 (947,000)	Australia	- (35,000)
S.America	- (25,000)	Total	
			78,876(1,007,000)

Historical Context

Data

Empirical Strategy and Export Targets

Main Results

Mechanisms

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Empirical Strategy

- ▶ Staggered event-study looking at firm-level export outcomes
- ▶ Treatment variation: *timing* of first procurement contract

Estimation

- ▶ Staggered event-study

$$y_{i,t} = \sum_{h \neq -1} \tau_h \mathbf{1}\{K_{i,t} = h\} + \theta_i + \kappa_t + \varepsilon_{i,t},$$

where τ_h is the effect of firm i winning its first contract h years ago

- ▶ **Treatment:** G_i is the first contract year and $K_{i,t} = t - G_i$ years from treatment
- ▶ **Estimators:** TWFE and Callaway and Sant'Anna (2021); never-treated controls

Estimation

- ▶ Staggered event-study

$$y_{i,t} = \sum_{h \neq -1} \tau_h \mathbf{1}\{K_{i,t} = h\} + \theta_i + \kappa_t + \varepsilon_{i,t},$$

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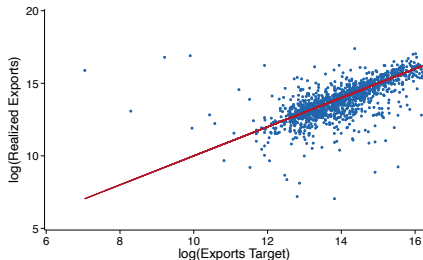
- ▶ **Main y_{it} margins**
 - ▶ Extensive margin: listed as exporter in KTD, 1959–1976; all 289 treated firms
 - ▶ Intensive margin: log exports, floored at \$100K via [Chen and Roth \(2024\)](#); 1968–1977; firms first treated 1969+
 - ▶ Effects averaged over years 3–7 (KTD), 0–4 (KOTRA)

Assumptions and Targeting

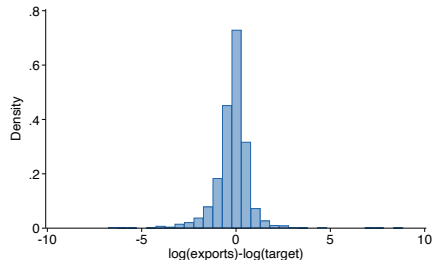
- ▶ **Assumptions:** no anticipation + parallel trends
 - ▶ Change does not depend on **when** (**whether**) treatment (conditional)
- ▶ **Use year-ahead export targets:** Famous instrument of regime
 - ▶ Government set aggregate export targets
 - ▶ Firm-level targets negotiated with firms
 - ▶ Codifies expectations

▶▶ Assumptions

Year-ahead Targets: Calibration



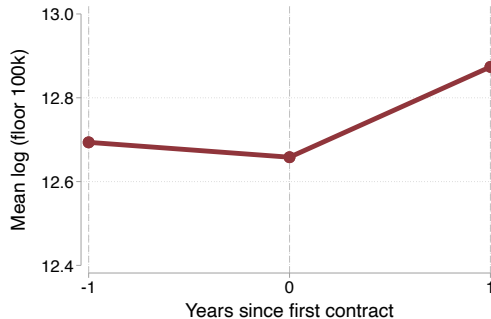
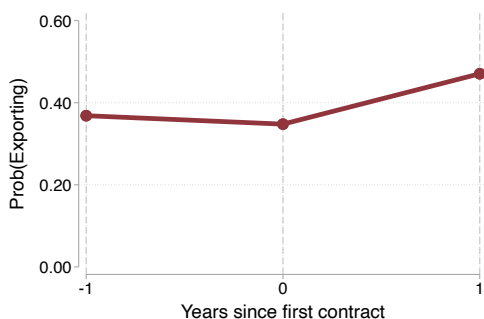
56% of obs: exports < target



Median target error: -0.09

Mean target error: -0.18

Award Anticipation?



- Mean targets, treated firms: extensive (left), intensive (right)
- Flat from $t = -1$ to $t = 0$; rise only at $t = 1$, after award

► More on Targets

Historical Context

Data

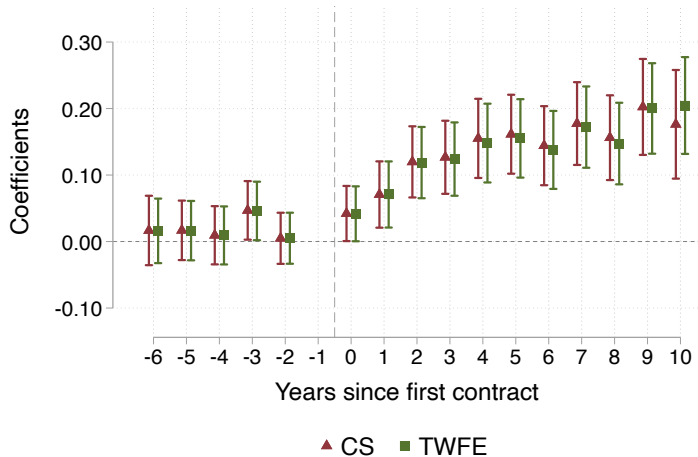
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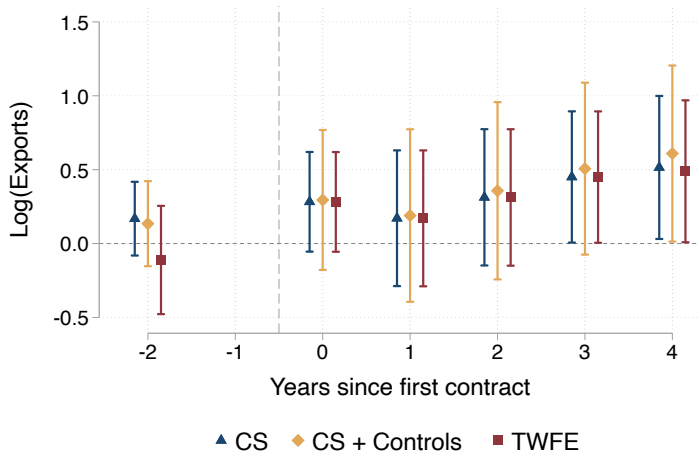
Conclusion

Contracts Turn Firms into Exporters



- $\text{Pr}(\text{exporter}) + 14.7 \text{ pp (years 3–7); builds five years, stable through year 10}$

Contract Winners Export More

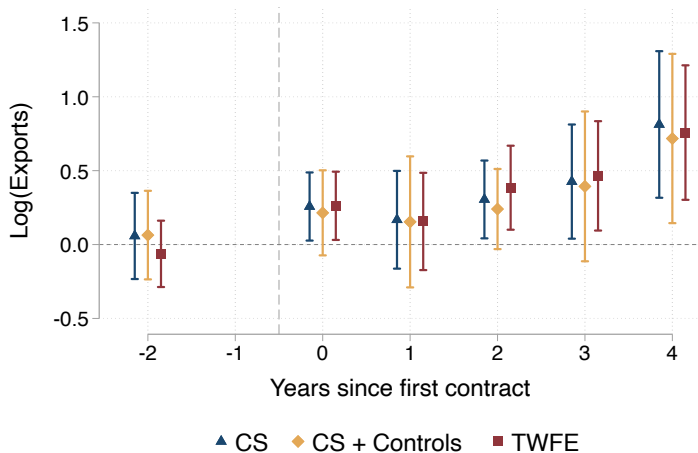


- Export value $\sim 40\%$ higher (years 0–4)

An Immediate Question

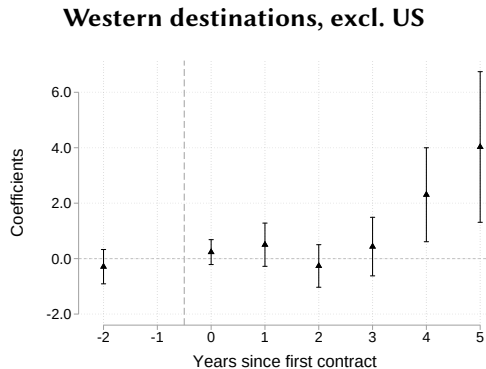
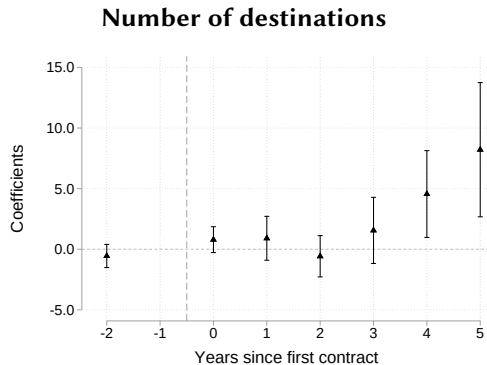
- ▶ Just mechanical? Merely exports to US, Vietnam?

Not Procurement Bookkeeping



- Exports to E & SE Asia, excl. Vietnam: ~48% higher (years 0–4)

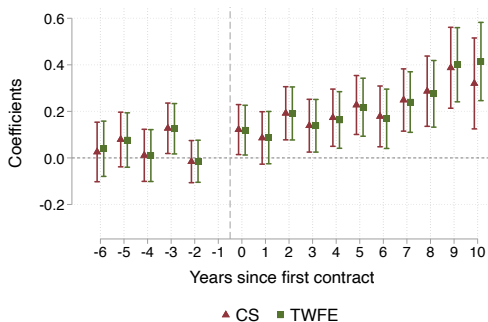
Contracts Widen Destination Scope



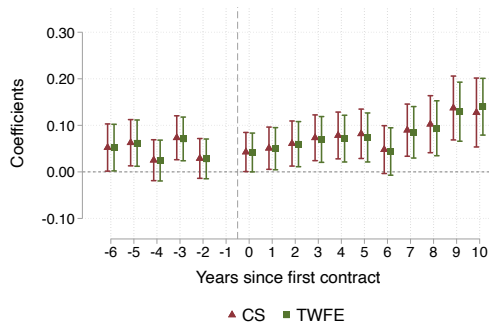
Gains emerge slowly: significant in years 4–5

Product Scope Expands; Importing Barely Responds

Products exported (IHS)

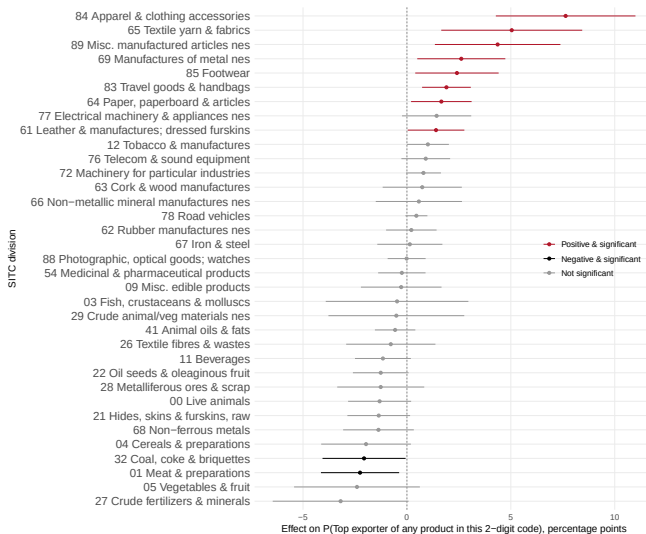


Pr(importer)



Product scope ~20% higher (years 3–7); importing effect much smaller

Exports Shift Toward Light Manufactures



Gains: apparel, textiles, footwear, leather. Losses: meat, coal

Emerging Narrative: Building Export Capability

Contract → Entry & Scale → New Markets & Products → Light Manufactures → Durable Capability

Possible channel: experience with a foreign buyer, credibility as U.S. supplier (suggestive)

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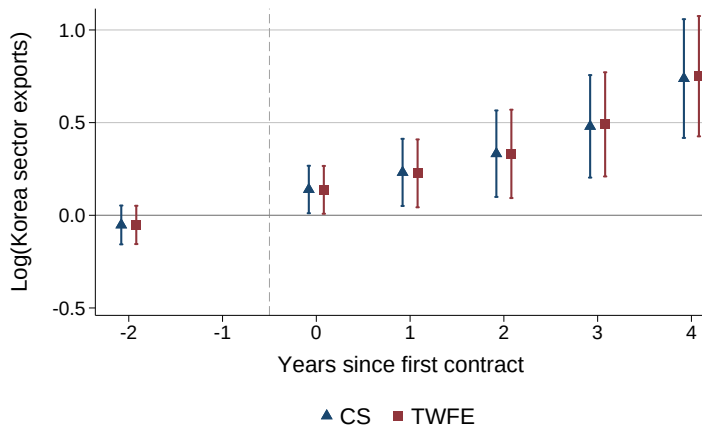
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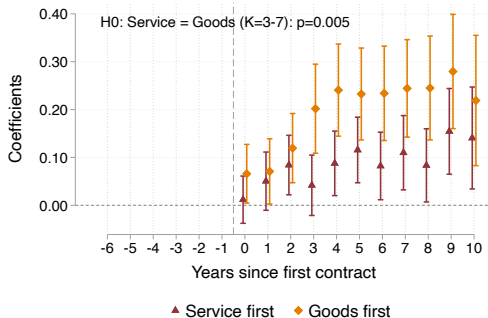
Whole Sectors Expanded



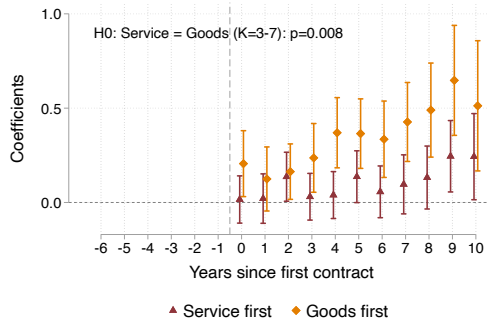
- Korean sector exports (UN Comtrade, SITC 4-digit): +0.74 log pts ($\sim 110\%$) by year 4

Stronger for Goods than Service Contracts

Pr(exporter)



Products exported (IHS)

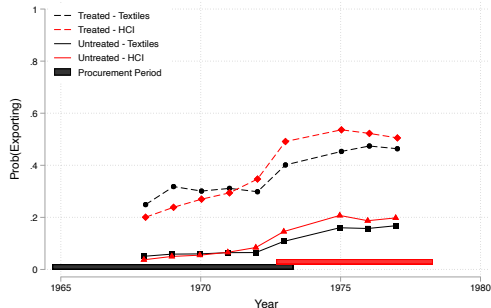


Goods vs. services (years 3–7): +22.8 vs. +8.7 pp; product scope 0.343 vs. 0.072

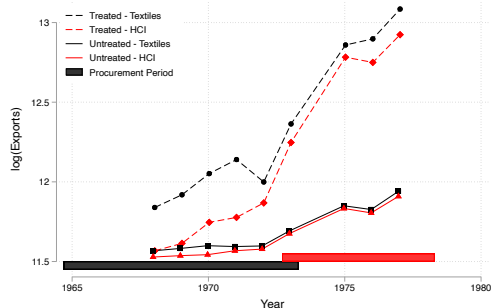
BJS estimates. Both: revenue + U.S. customer; differ in what fulfilling required. Selection may explain part.

The Export Shock and Industrial Policy

Extensive margin



Intensive margin



- Procurement era: mfg. export surge almost all treated firms, mostly textiles
- From 1973 HCI drive: treated firms' HCI exports pull away; controls rise modestly—complements, not substitutes

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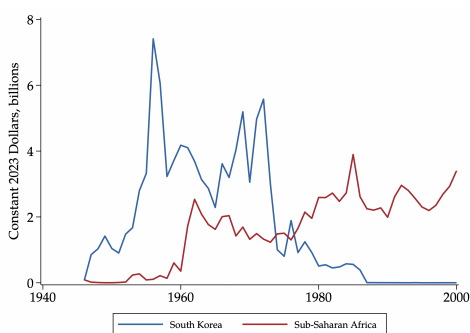
- ▶ U.S. procurement: large, persistent effects on Korean firm exports
- ▶ Broad, not mechanical: new destinations, products, shift to mfg.
- ▶ Not business stealing: whole sectors grew; gains largest for goods contracts
- ▶ ~10% of 1973 exporters, ~10% of sample exports
- ▶ Lesson for export promotion (e.g., AGOA¹): procurement via firms may succeed where aid has not

¹African Growth and Opportunity Act

Appendix

Understudied Role of U.S. in East Asian Development

- ▶ From 1946–1978, South Korea received \$12.6 billion in US aid
- ▶ All of Sub-Saharan Africa received \$6.9 billion
- ▶ In 1961, US aid was approximately 12% of Korean GDP (73% of imports)



▶ Go Back

Identifying Assumption

- ▶ $Y_{it}(0)$: firm i 's exports absent treatment, reflecting firm characteristics, market-wide conditions, and temporary firm-specific factors u_{it} , given by

$$Y_{it}(0) = \theta_i + \kappa_t + u_{it}$$

- ▶ **Parallel trends:**

$$\mathbb{E}[Y_{it}(0) \mid \theta_i, \kappa_t, G_i] = \theta_i + \kappa_t \quad \text{for all } i, t$$

which is

$$\mathbb{E}[u_{it} \mid G_i] = 0$$

- ▶ **No anticipation:**

$$Y_{it} = Y_{it}(0) \quad \text{for } t < G_i$$

Targets as Expectations

- ▶ Target for year t , set in $t - 1$:

$$T_{i,t} = \mathbb{E}[Y_{i,t} \mid \mathcal{I}_{i,t-1}] + v_{i,t}$$

$v_{i,t}$: “stretch” or policy bias, forecast error

- ▶ Informative even if biased: set before the year, so pre-treatment information only
- ▶ $\bar{T}_h$: mean target for event year h , set in $h - 1$
- ▶ Anticipated award: $\bar{T}_0 > \bar{T}_{-1}$
- ▶ Unanticipated: $\bar{T}_0 \approx \bar{T}_{-1}$, even as $\bar{Y}_0 > \bar{Y}_{-1}$